

Advanced Econometrics – Lecture 01

Exercise

Suppose your superior asks you to estimate an econometric model for the following topics. Which model should be chosen from the list?

ARIMA, ARDL, Logit/Probit, Ordered logit/probit, Unordered logit/probit, Panel model, Tobit, Error-Correction Mechanism (Cointegration).

1. Car colour choice determinants
☐ Regression (OLS) ☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model
2. The number of plane accidents across countries over the last 20 years.
☐ Negative binomial ☐ Panel data model ☐ Tobit ☐ ARIMA
3. Consider determinants of the number of children in Polish marriages.
☐ Count data model ☐ Ordered choice model ☐ Unordered choice model
☐ Logit/Probit
4. What determines the choice of the field of study at the university?
☐ Logit/Probit ☐ ADL ☐ Ordered choice model ☐ Unordered choice model
5. Modelling the number of doctor visits
☐ Regression (OLS) ☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model
6. Household's medical insurance determinants
☐ Classical regression ☐ Duration analysis ☐ Logit/probit ☐ Tobit
7. Doctor visit satisfaction survey. Options: very satisfied, satisfied, neutral, dissatisfied, strongly dissatisfied
☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Negative binomial
8. Opinion on teenage birth control
☐ Unordered choice model ☐ Ordered choice model ☐ Logit/probit ☐ Count data model
9. Dental care expenses
☐ Count data model ☐ Simple regression ☐ Logit/Probit ☐ Tobit
10. Attitudes toward abortion
☐ Logit ☐ Order choice model ☐ Panel data model ☐ Classical regression

11. Modelling the football match result. The match may end with a draw, win or defeat.
☐ Classical regression ☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model
12. Household's alcohol expenditures. The amount spent might be zero, or positive, however, it cannot be negative.
☐ Classical regression ☐ ARIMA ☐ Logit/probit ☐ Tobit
13. What determines the choice of the field of study at the university?
☐ Logit/Probit ☐ ADL ☐ Ordered choice model ☐ Unordered choice model
14. Patients were offered three alternatives to cure the disease they had. The options were: a standard medicine, a new medicine that had just entered the market, or no medicine at all.
☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Count data model
15. The effect of smoking on lung cancer ☐ Logit/Probit ☐ Panel data model
☐ Tobit ☐ Ordered choice model
16. Why do people decide to buy a German car?
☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Negative binomial
17. Why do Poles decide to buy imported used cars?
☐ Count data model ☐ Negative binomial ☐ Logit/Probit ☐ Tobit
18. Who spends their holidays in Thailand?
☐ Logit ☐ ARIMA ☐ Panel data model ☐ Classical regression
19. A clinical study on the response to chemotherapy: progressive disease, no change, partial remission, complete remission
☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Count data model
20. Mental impairment study. The impairment is measured as well, mild, moderate, or impaired. The study relates the impairment with the number and severity of important life events and socioeconomic status.
☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Count data model
21. Do you want to work at a bank after your studies?
☐ Ordered choice model ☐ Logit/Probit ☐ Unordered choice model ☐ Tobit

22. You have yearly data over the period 1965-2011 on 54 countries and want to examine the effect of various factors on the number of cars sold in those countries.
- ☐ Panel data model ☐ ADL ☐ Count data model ☐ ECM
23. Which national team are you going to support during the next World Cup?
- ☐ Logit/Probit ☐ Ordered choice model ☐ Unordered choice model ☐ Count data model
24. Your boss suspects that the Chinese yuan (RMB) is pegged to the US dollar.
- ☐ Logit/Probit ☐ Panel data model ☐ Tobit ☐ ECM
25. From Warsaw to Wroclaw - train or plane?
- ☐ Ordered choice model ☐ Count data model ☐ Unordered choice model
☐ Logit/Probit

26. An analyst supposes that Bordeaux and White Burgundy wine prices are highly correlated and co-move.
☐ ECM ☐ ADL ☐ Logit ☐ Panel data model
27. Young Europeans' political preferences.
☐ Logit/Probit ☐ Ordered choice model ☐ Count data model ☐ Unordered choice model
28. Why don't people attend the general elections?
☐ Logit/Probit ☐ Ordered choice model ☐ ADL ☐ Negative binomial
29. Do you want to work at a bank after your studies?
☐ Ordered choice model ☐ Logit/Probit ☐ Unordered choice model ☐ Tobit
30. What factors determine to make of a car you decide to buy?
☐ Classical regression ☐ Count data model ☐ Logit/Probit ☐ Unordered choice model
31. Consider determinants of the number of children in Polish marriages.
☐ Count data model ☐ Ordered choice model ☐ Unordered choice model
☐ Logit/Probit
32. The number of plane accidents among countries over the last 20 years.
☐ Negative binomial ☐ Panel data model ☐ Tobit ☐ ARIMA
33. Simple forecast of the aggregated consumption in the USA.
☐ Logit/Probit ☐ Tobit ☐ ARIMA ☐ Panel data model
34. Consumer price index (CPI) should co-move with the producer price index (PPI).
☐ Logit/Probit ☐ Tobit ☐ Classical regression ☐ ECM
35. Student decided to survey researchers at the Economic Sciences Faculty at the University of Warsaw. The staff were asked whether they had life insurance or not.
☐ Logit/Probit ☐ Tobit ☐ Classical regression ☐ Unordered choice model